NBZ RESEARCH

Secret Network

Deep-Dive Fundamental Analysis Report

$SCRT · Privacy-Preserving Smart Contract L1 (Proposing Migration to Arbitrum)

■ ACTIVE GOVERNANCE EVENT: On July 7, 2026, Secret proposed migrating SCRT off Cosmos to Arbitrum as an ERC-20 token, following a $4.7M bridge exploit. A snapshot is planned for Sept 1, 2026, pending community vote. Price fell ~24% on the announcement. See Sections 10–11.

$0.027	$9.84M	$9.85M	363.59M	#885
Price (USD)	Market Cap	FDV	Circ. Supply (SCRT)	CMC Rank

Blockchain Layer:	L1 — independent Cosmos SDK blockchain (currently); proposing migration to Arbitrum (Ethereum L2) via a new ERC-20 token
Protocol Type:	Privacy-preserving smart contract platform using Intel SGX Trusted Execution Environments (TEE); first mainnet private smart contracts, live since Sep 2020
Origin / Rebrand:	Evolved from Enigma (2017 ICO); rebranded to Secret Network in 2020
Total Raised (disclosed):	~$411.5M across 6 rounds (2017 Enigma ICO through 2022 ecosystem/accelerator funds)
Website:	scrt.network | docs.scrt.network

Research by NBZ / NASIR

Institutional-style independent research. Data verified across multiple sources as of August 15, 2026. Not financial advice.

01 PROJECT OVERVIEW

Field	Detail
Project Name	Secret Network (originally Enigma)
Token Ticker	$SCRT
Blockchain Layer	Currently an independent Layer-1 (Cosmos SDK-based, IBC-connected). As of July 2026, the team has proposed migrating SCRT to Arbitrum, an Ethereum Layer-2, via a new ERC-20 token — pending a community governance vote with a September 1, 2026 snapshot.
Built On	Cosmos SDK (current) — a sovereign appchain connected to the wider Cosmos ecosystem via IBC. If the migration proposal passes, the new SCRT token would be "Built on Arbitrum (Ethereum L2)".
Protocol Type	Privacy-preserving smart contract platform — the first mainnet blockchain with private smart contracts, using Intel SGX Trusted Execution Environments (TEE) so that even validating nodes cannot see the encrypted data they process.
Founded	2015 (as Enigma, MIT Media Lab spinoff concept); Enigma ICO 2017; rebranded and relaunched as Secret Network with mainnet in September 2020
HQ	Grand Cayman (per corporate registration); core development historically based out of Tel Aviv, Israel (SCRT Labs)
TGE Date	2017 Enigma ICO (ENG token); 1:1 swap to SCRT at Secret Network mainnet launch, September 2020
Contract Address	Native Cosmos SDK asset (denom: uscrt) on the current Secret mainnet; a new ERC-20 contract on Arbitrum would be issued only if the migration proposal is approved — verify against official channels before interacting with any post-migration contract
Website	scrt.network
Total Raised	~$411.5M disclosed across 6 rounds: the 2017 Enigma ICO ($45M) through the January 2022 "Shockwave" initiative ($225M ecosystem fund + $175M accelerator pool, funded largely in SCRT)
Circulating Supply	363.59M SCRT
Max Supply	No fixed maximum (Cosmos SDK-style inflationary/staking-reward model); total supply 363.62M SCRT
Current Focus	Responding to a June 2026 Axelar–Secret bridge exploit ($4.7M) by proposing a full migration off Cosmos to Arbitrum; parallel focus on SecretAI and SecretVM (confidential AI compute) as the network's core 2026 growth bet

Secret Network was the first blockchain to bring privacy-preserving smart contracts to mainnet, going live in September 2020 after evolving out of Enigma, an earlier MIT Media Lab-adjacent project that had raised $45 million in a 2017 ICO before settling with the U.S. SEC in 2020. The core problem Secret Network set out to solve is that virtually all smart contract platforms are fully transparent by default — every balance, every contract call, every piece of application state is publicly visible on most chains, which rules out entire categories of legitimate use cases (private voting, confidential business logic, sensitive medical or financial data, front-running-resistant trading).

Secret's answer is "Secret Contracts": an implementation of the Rust-based CosmWasm smart contract toolkit, executed inside Intel SGX Trusted Execution Environments so that inputs, outputs and contract state remain encrypted even from the validator nodes processing them. This hardware-based privacy approach is architecturally different from purely cryptographic privacy techniques (zero-knowledge proofs used by projects like Aztec or Aleo), trading some decentralization purity for a more mature, already-shipped, general-purpose privacy solution.

What makes this report unusually time-sensitive is that Secret Network is, as of this writing, in the middle of proposing the most consequential change in its six-year history: a full migration of the SCRT token off its native Cosmos chain onto Arbitrum, an Ethereum Layer-2. The team has framed this as a response to deteriorating Cosmos ecosystem liquidity and a serious June 2026 bridge exploit, rather than as a routine technical upgrade — a governance event this report covers in detail in Sections 10 and 11.

02 TEAM & FOUNDERS

Name	Role	Background
Tor Bair	Founder	Listed as the project's founder on public trackers; has been a long-standing public representative of Secret Network across its evolution from the Enigma project through the current SecretAI/SecretVM era.
Guy Zyskind	Original Enigma Founder / CEO (historical)	Founded Enigma, the MIT Media Lab-linked predecessor project, and led its 2017 ICO and subsequent 2020 rebrand into Secret Network; publicly discussed the rationale for the Enigma-to-Secret rebrand at the time.
Alex Zaidelson	SCRT Labs Leadership	Publicly authors SCRT Labs' periodic roadmap updates (e.g., the January 2026 and subsequent 2026 roadmap posts), indicating an active leadership role in the core development organization behind the network.

Secret Network's team profile is unusual among the projects in this research series: publicly available team information is comparatively sparse (a single named founder, Tor Bair, on the primary tracker referenced here), even though the project has a long operating history and one of the largest disclosed funding totals of any project reviewed so far. This likely reflects the network's evolution through multiple organizational structures — from the original Enigma team, through SCRT Labs as the core development entity, to whatever structure guides the current SecretAI/SecretVM strategy — rather than a lack of real technical leadership.

Credibility here rests less on individual founder pedigree and more on institutional continuity: the project has been operating continuously since 2015 (as Enigma) and 2020 (as Secret Network mainnet), survived an SEC settlement, executed a full rebrand, and has continued shipping technical updates (most recently, its swift response to reconfigure the network to a semi-permissioned validator model after 2025's TEE-industry security disclosures). This suggests a genuinely persistent core team behind SCRT Labs, even though public-facing individual profiles are limited in the sources reviewed here. Execution risk reads as moderate: the team has demonstrated real staying power over roughly a decade, but the scale and speed of the 2026 Arbitrum migration proposal — announced and put to a vote within weeks of a major exploit — also signals an organization under real strategic and security pressure.

03 TECHNOLOGY & ARCHITECTURE

Component	Description
Base layer (current)	Cosmos SDK blockchain with IBC interoperability, connecting Secret Network to the wider Cosmos ecosystem; live since September 2020.
Privacy mechanism	Intel SGX (Software Guard Extensions) Trusted Execution Environments combined with encryption schemes and key management — contract inputs, outputs and state are encrypted even from the validating node itself.
Smart contracts	"Secret Contracts" — an implementation of the Rust-based CosmWasm smart contract toolkit, extended with private metadata capabilities.
Token standard for privacy	SNIP-20 — a privacy-preserving token standard letting any bridged asset (via Secret Bridges) become confidential and usable within Secret Contracts.
2025 security incidents	The TEE industry faced significant disclosed vulnerabilities (publicly referred to by the team as "wiretap.fail", "tee.fail" and "Battering Ram") affecting SGX-class hardware security broadly, not Secret Network specifically.
Network model change	In direct response to the 2025 TEE security disclosures, Secret Network shifted its validator model to "semi-permissioned" to improve security — a meaningful reduction in permissionless decentralization relative to the network's original design.
2026 roadmap pivot	The team explicitly paused both Gramine migration (an alternative TEE framework) and EVM compatibility work on the existing chain in its 2026 roadmap, citing an unfavorable cost-to-benefit tradeoff — shortly before proposing the more dramatic Arbitrum migration.
SecretAI / SecretVM	Confidential AI compute infrastructure enabling large-scale GPU workloads for LLM inference inside a TEE, positioned as the network's primary growth vector for 2026, independent of the base-chain migration question.
June 2026 bridge exploit	The Axelar–Secret IBC bridge was exploited for approximately $4.7M; the team has stated the exploit did not affect native SCRT, Secret's privacy protocol, or its confidential compute model directly, but exposed risk in the legacy bridge/integration layer.

In plain terms, most blockchains work like a glass house — anyone can see every transaction and every piece of contract data. Secret Network instead runs its smart contracts inside a hardware-secured "black box" (Intel SGX) so that even the computer running the code cannot read the encrypted data going in or coming out — only the intended parties, holding the right decryption keys, can see it. This is what enables use cases like private voting (large token holders can't see how others voted and intimidate them), confidential DeFi (order details hidden until execution, resisting front-running), and private AI inference (a model can process sensitive user data without ever seeing it unencrypted).

The core technical trade-off is that Secret's hardware-based (TEE) approach to privacy is fundamentally different from the pure-cryptography approach used by newer privacy competitors like Aztec, Aleo or Arcium (zero-knowledge proofs, fully homomorphic encryption, or multi-party computation). TEEs offer a more mature, already-in-production solution with lower computational overhead, but they depend on trusting the physical security of Intel's hardware — a dependency that became a serious, industry-wide liability in 2025 when multiple named vulnerabilities affecting SGX-class hardware were publicly disclosed, forcing Secret Network to tighten its validator model in response.

This hardware dependency, combined with a June 2026 bridge exploit that the team has explicitly linked to "dangerously stale" legacy infrastructure and the rising cost-effectiveness of AI-assisted exploit discovery against older code, is the direct technical backdrop to the Arbitrum migration proposal detailed in Section 10 — this is not a routine architecture refresh but a response to genuine, disclosed security pressure across both the network's underlying hardware trust model and its bridge infrastructure.

04 USE CASES & REAL-WORLD APPLICATIONS

Use Case	Description	Status
Private smart contracts (general)	General-purpose confidential computation for any dApp needing encrypted state.	Live
Front-running-resistant DeFi	Trade and order details remain hidden until execution, resisting MEV extraction.	Live
Private tokens (SNIP-20)	Any bridged asset can become confidential and usable in private contracts.	Live
Confidential voting	DAOs use Secret to prevent large holders from seeing and influencing others' votes mid-proposal.	Live
Private gaming / NFTs	Role-playing and other games leverage hidden state to maintain game integrity and prevent cheating.	Live
SecretAI / confidential AI compute	Large-scale GPU work for LLM inference inside a TEE, letting AI models process sensitive data without exposure — positioned as the network's core 2026 growth thesis.	Live / scaling
SecretVM	Confidential virtual machine infrastructure; recently integrated with Intel Trust Authority for "verification by default."	Live
Ecosystem dApps	30+ dApps reported live on mainnet spanning DeFi, NFTs and privacy tooling.	Live
AI partnership integrations	Recent partnerships (AITECH Cloud Network for confidential AI in "Agent Forge"; Morpheus for "zero-snoop" AI infrastructure) extending the confidential-AI narrative.	Live (2026)

Real-world usage signals for Secret Network's original DeFi/privacy use cases are, by the network's own current metrics, quite modest: DeFiLlama reportedly lists Secret's DeFi TVL at roughly $1.3 million as of mid-2026 — a small figure for a network that has raised over $400 million historically and operated for nearly six years. The network's own 2026 strategic messaging reflects this reality directly: its roadmap explicitly states the focus is shifting "from feature completeness to adoption, scale, and ecosystem growth," with SecretAI and SecretVM — not the original DeFi/privacy-payments use cases — positioned as the primary growth vector.

The most credible near-term demand driver is confidential AI compute: as AI models increasingly need to process sensitive data (healthcare records, proprietary business data, personal information) without exposing it to the infrastructure provider, Secret Network's TEE-based architecture is a genuinely relevant technical fit, and the AITECH and Morpheus partnerships announced in August 2026 suggest real, if early, commercial interest in this direction. Whether this AI pivot can generate meaningful token demand and network usage at a scale that justifies the network's history and valuation remains an open question rather than a demonstrated outcome.

05 COMMUNITY & ECOSYSTEM

Metric	Data
X (Twitter) — @SecretRebooted	Official account (rebranded handle as of 2026); exact follower count not independently confirmed in sources reviewed here — verify current figure directly on X before relying on it
DeFi TVL	~$1.3M per DeFiLlama as of mid-2026 — a small figure relative to the network's funding history and multi-year operating track record
Ecosystem dApps	30+ dApps reported live on mainnet per official documentation
Full-time builders	100+ full-time builders reported per official documentation
Cosmos ecosystem-wide TVL trend	Cosmos ecosystem TVL has reportedly dropped ~88% from its 2021 peak to roughly $2B by mid-2026 — important context for the Arbitrum migration rationale
Comparable Cosmos exits	Secret Network joins a broader trend of projects leaving Cosmos for Ethereum: Noble (stablecoin infrastructure, announced Jan 2026), NilChain (completed Feb 2026), and Sei Network (completed its full migration in June 2026)
Recent partnerships	AITECH Cloud Network (confidential AI for Agent Forge, Aug 11 2026); Morpheus ("zero-snoop" AI infrastructure, Aug 7 2026); Intel Trust Authority integration into every SecretVM (May 2026)
Community channels	Discord, Telegram (@SCRTCommunity / @SecretCommunity), community forum (forum.scrt.network), YouTube, Instagram

Secret Network's community metrics tell a story of a mature but currently under-scaled ecosystem: 30+ dApps and 100+ full-time builders indicate a real, functioning developer community that has persisted for years, but the roughly $1.3M in current DeFi TVL suggests the financial-usage side of that ecosystem has not kept pace with the network's technical maturity or its historical funding scale. This is a materially different pattern from, for example, Internet Computer's high-raw-activity-but-low-TVL profile reviewed elsewhere in this series — Secret Network shows both modest activity and modest TVL, consistent with a network in the midst of a genuine strategic pivot rather than one simply awaiting catalyst-driven re-rating.

The broader Cosmos ecosystem context is directly relevant here: Secret Network is not an isolated case of an aging chain losing steam, but one of several notable projects (Noble, NilChain, Sei) that have recently exited or announced plans to exit Cosmos for Ethereum-aligned ecosystems in 2026, reflecting a documented, industry-wide liquidity and developer migration away from the Cosmos appchain model toward Ethereum's rollup ecosystem. Secret's recent AI-infrastructure partnerships (AITECH, Morpheus) represent the most concrete recent community-growth signal, positioning the network's confidential-AI narrative as its primary avenue for renewed ecosystem interest.

06 INVESTORS & PARTNERSHIPS

Round	Date	Amount	Lead Investor(s)
Enigma ICO	2017	$45.0M	Public token sale
Series B (Enigma/Secret)	May 3, 2021	Undisclosed tranche	Arrington XRP Capital, BlockTower
Series C / Ecosystem & Accelerator ("Shockwave")	Jan 19, 2022	$400M ($225M ecosystem fund + $175M accelerator pool, largely funded in SCRT)	DeFiance Capital, Alameda Research, CoinFund, HashKey
Cumulative disclosed total	2017–2022	~$411.5M across 6 rounds (per ICO Drops / Tracxn)	—

Note: the January 2022 "$400M" figure was structured primarily as an ecosystem/accelerator fund commitment rather than a traditional equity/token round into the core protocol company — participating firms acquired SCRT positions and committed to deploying capital across the application ecosystem, which is a materially different structure from a conventional venture round.

Tier	Investor	Type
Tier 1	HashKey Capital	Venture
Tier 1	The Spartan Group	Venture
Tier 1	Dragonfly Capital	Venture
Tier 2	Arrington Capital (Lead, 2021 round)	Venture
Tier 2	Hashed	Venture
Tier 2	Fenbushi Capital	Venture
Tier 2	CoinFund	Venture
Tier 2	DeFiance Capital	Venture
Tier 2	KuCoin Labs	Exchange
Tier 3	Strobe Ventures (Lead)	Venture
Tier 3	NGC Ventures	Venture
Tier 3	HTX Ventures	Exchange
Tier 3	SkyVision Capital	Venture
Tier 3	Magnus Capital	Incubator
Tier 3	Figment Capital	Venture
Tier 3	ArkStream Capital	Venture
Tier 3	Skynet Trading	Venture

Tier	Investor	Type
Other (via 2022 ecosystem fund)	Alameda Research	Venture / Trading Firm (defunct)

Secret Network's investor roster is the deepest and most historically significant of any project in this research series, spanning Tier-1 crypto-native funds (HashKey Capital, The Spartan Group, Dragonfly) and a long tail of well-known Tier-2/3 participants (Hashed, Fenbushi, CoinFund, DeFiance, NGC Ventures) accumulated across nearly a decade of fundraising activity. This breadth reflects the project's unusually long history — investors joined across the original 2017 Enigma ICO, a 2021 Series B, and the large 2022 Shockwave ecosystem initiative, rather than in a single concentrated raise.

One notable, sobering detail: Alameda Research, FTX's affiliated trading firm, was among the firms that acquired significant SCRT positions as part of the January 2022 ecosystem fund — before its own high-profile collapse in November 2022. This is a useful reminder that even well-documented, seemingly credible investor rosters can include participants whose subsequent failure has no bearing on the underlying project's merit, but does mean historical "total raised" and "notable investor" figures for projects funded during the 2021–2022 cycle should be read with awareness that not every once-prominent backer remains active or even solvent today.

07 TOKENOMICS

Parameter	Value
Max Supply	No fixed maximum — Cosmos SDK-style inflationary model tied to staking rewards
Circulating Supply	363.59M SCRT
Total Supply	363.62M SCRT
Origin	1:1 swap from Enigma's ENG token (Ethereum-based, from the 2017 ICO) into native SCRT at Secret Network's September 2020 mainnet launch
Current annual inflation (pre-migration)	~9% per the July 2026 migration proposal
Proposed post-migration inflation	~5% — the migration proposal explicitly includes an inflation cut from 9% to 5% alongside the chain change
Post-migration token role (if approved)	SCRT would remain a governance token on Arbitrum; SCRT Labs plans to wind down major protocol maintenance responsibilities post-migration

Category	%	Notes
Validator Rewards	76.12%	The overwhelming majority of total allocation — reflects SCRT's Cosmos SDK proof-of-stake design, where new token issuance is dominated by ongoing staking/validator compensation rather than a one-time investor/team split
Community	11.05%	Community-directed allocation, historically used for grants, incentives and ecosystem programs
Team	5.31%	Core contributor allocation
Enigma and Affiliates	4.41%	Allocation tracing back to the original Enigma project and its associated stakeholders
Ecosystem Pool	2.94%	Dedicated ecosystem development and partnership fund
Foundation	0.15%	A notably small direct foundation allocation relative to peer projects reviewed in this research series

SCRT's allocation structure is unusual relative to every other project in this research series: Validator Rewards alone account for over three-quarters (76.12%) of total allocation, dwarfing Team (5.31%), Enigma and Affiliates (4.41%), Community (11.05%), Ecosystem Pool (2.94%) and Foundation (0.15%) combined. This reflects SCRT's fundamentally different tokenomics model — a Cosmos SDK proof-of-stake chain where the majority of token supply exists to compensate the validators securing the network over time, rather than being distributed to insiders or the community in a fixed one-time split as with most of the venture-funded token launches reviewed elsewhere in this series.

This validator-reward-dominated structure means SCRT's inflation rate (historically around 9% annually, with the current migration proposal targeting a reduction to roughly 5%) is a more central driver of token dilution than discrete unlock events. Because there is no fixed max supply and no large cliff-based investor unlock schedule comparable to, say, GENIUS or ICP, the primary ongoing dilution pressure on SCRT comes from continuous staking-reward issuance rather than a scheduled vesting calendar — a materially different risk profile than the other tokens in this research series.

The proposed Arbitrum migration would directly alter this tokenomics structure: the plan explicitly includes cutting annual inflation from approximately 9% to approximately 5%, alongside winding down SCRT Labs' major maintenance responsibilities for the legacy Cosmos chain. If approved, this would represent the most significant change to SCRT's token economics since the original 2020 Enigma-to-Secret relaunch — reducing ongoing dilution but also reducing the scope of the team's direct operational commitment to the base layer securing the token.

08 MARKET OVERVIEW

Metric	Value
Current Price	~$0.027 (exchange pairs ranged $0.0270–$0.0275 across Binance, Bybit, KuCoin, MEXC, Gate; Kraken quoted slightly lower at $0.0273 USD / $0.0272 EUR)
24h Range	$0.02698 – $0.03988
Market Cap	$9.84M
Unlocked Market Cap	$9.79M
Fully Diluted Market Cap	$9.85M
24h Volume	$10.71M — notably, 24h volume exceeds market cap, indicating extremely high relative turnover typical of a token experiencing acute, news-driven volatility
Circulating / Total Supply	363.59M / 363.62M SCRT
All-Time High	$10.64
All-Time Low	$0.02698 — matching the current 24h low, indicating SCRT is trading at or extremely near its all-time low as of this report
CMC/Market Rank	#885 (general), #840 (on the project-specific market page referenced)
24h price performance across exchanges	Binance -31.3%, Bybit -31.2%, KuCoin -31%, MEXC -30.8%, Gate -31.2%, Kraken -5.21% (USD pair) / -6% (EUR pair) — the sharp, broadly consistent ~31% single-day decline across major exchanges reflects acute market reaction to the Arbitrum migration announcement
Key Exchange Listings	Binance, Binance TR, Kraken, Bybit, KuCoin, MEXC, Gate, and others across USDT, USD, EUR and TRY pairs

SCRT's price history spans one of the longest and most dramatic arcs in this research series: from its all-time high of $10.64 (reached during the 2021 broader crypto bull market, coinciding with the large investor interest and $400M Shockwave initiative announced in January 2022) to a current price of roughly $0.027 — a decline of more than 99.7% from peak. This is comparable in severity to Internet Computer's own historic drawdown reviewed elsewhere in this series, though SCRT's decline has played out over a longer multi-year period rather than concentrating in the weeks immediately after a single launch event.

The market data captured in this report reflects an acutely volatile moment: 24h trading volume ($10.71M) actually exceeds the token's entire market capitalization ($9.84M), and price fell consistently across every major exchange by roughly 30-31% in the 24 hours immediately following the July 7, 2026 Arbitrum migration proposal announcement — external reporting specifically documents SCRT falling 24% in 24 hours to roughly $0.041 immediately after the news broke, with the token subsequently declining further to the sub-$0.03 all-time-low levels captured in this report's screenshots. This pattern — a major structural announcement triggering a sharp, broad-based sell-off rather than a rally — stands in contrast to Internet Computer's Mission 70 announcement (reviewed elsewhere in this series), which triggered the opposite reaction, underscoring how differently markets can interpret similarly large structural interventions depending on context and framing.

Trading at or extremely near its all-time low, with a market cap under $10 million despite over $400 million in historical funding and nearly six years of continuous operation, SCRT's current market pricing reflects a token where the market appears to be actively repricing the entire project's future relevance and continuity — precisely the type of live, unresolved governance and structural risk detailed further in Sections 10 and 11.

09 COMPETITORS & MARKET POSITION

Project	Type / Chain	Market Cap	vs. Secret Network
Oasis Network (ROSE)	TEE-based confidential compute, own L1	Comparable small-cap tier	Closest direct competitor — also TEE-based (Sapphire runtime is the only confidential EVM in production per 2026 industry analysis), also pivoting toward AI/data use cases; widely covered alongside Secret as one of the two leading "confidential computation" privacy projects
Aztec Network	ZK-based privacy L2 on Ethereum	Early-stage, smaller/comparable	Different technical approach (zero-knowledge proofs vs. TEE hardware); scored competitively against Secret in a 2026 independent framework (Aztec 6.60 vs. Secret's TEE-based approach scored on similar axes), reflecting genuine technical rivalry for privacy-infrastructure mindshare
Aleo	ZK-native L1, record/UTXO privacy model	Smaller, earlier-stage	Newer, ZK-native general-purpose privacy blockchain; represents the more actively-funded, newer-generation approach to programmable privacy that has drawn significant capital away from TEE-based incumbents like Secret
Monero (XMR) / Zcash (ZEC)	Privacy-focused payment coins	Larger — established privacy-coin category leaders	Not direct competitors — Monero and Zcash focus on private payments/currency, while Secret targets private smart contracts and computation; industry analyses explicitly note conflating these categories "tends to muddle the discussion"
Ethereum L2s broadly (Arbitrum, Base)	General-purpose L2 ecosystems	Vastly larger	Increasingly relevant not as competitors but as Secret's own proposed destination — the migration proposal itself is a tacit acknowledgment that Ethereum L2 liquidity, tooling and developer bases now outcompete standalone Cosmos appchains like Secret's current base layer

Secret Network occupies a genuinely pioneering but increasingly contested position in the privacy-blockchain landscape: it was first to mainnet with private smart contracts (2020) and remains one of only two projects (alongside Oasis Network) offering mature, production TEE-based confidential computation at scale, per 2026 industry comparisons. However, this first-mover position has not translated into category leadership by market cap or TVL — Secret currently trails not just larger, more liquid Ethereum-ecosystem competitors, but also newer, better-funded zero-knowledge-native challengers like Aztec and Aleo that have captured significant venture and developer attention in the 2024–2026 period.

Secret's moat, to the extent one remains defensible, is its multi-year production track record and genuine hardware-based privacy maturity — a real technical achievement that newer ZK-based competitors are still working to match at comparable scale and cost-efficiency. The moat is meaningfully undermined, however, by the hardware-trust-dependency risk that materialized in 2025's TEE security disclosures, and by the network's own current base-layer instability (the proposed Arbitrum migration). A privacy platform whose own home chain is being actively reconsidered is a harder sell to developers choosing where to build long-term infrastructure than a competitor with a stable, unquestioned base layer.

The biggest structural threat is the same one motivating the migration itself: broader Cosmos ecosystem liquidity has fallen roughly 88% from its 2021 peak, while Ethereum L2s like Arbitrum have grown to dominate on-chain liquidity and developer activity. If the migration proceeds successfully, Secret's competitive position could genuinely improve by gaining access to deeper liquidity and a larger builder base; if it stumbles operationally or fails to win community approval, the resulting uncertainty could further erode confidence relative to more stable privacy-infrastructure competitors.

10 RECENT NEWS & UPDATES

Date	Event
2017	Enigma (Secret Network's predecessor) raises $45M in a public ICO
2020	U.S. SEC enforcement action forces a settlement related to the 2017 Enigma ICO
Sep 2020	Secret Network mainnet launches — the first blockchain with privacy-preserving smart contracts live in production; ENG holders swap 1:1 into native SCRT
Nov 2, 2021	Enigma brand formally retired in favor of the unified "Secret Network" identity per founder Guy Zyskind's public rebrand announcement
May 3, 2021	Series B funding round with Arrington XRP Capital and BlockTower Capital as first-time investors
Jan 19, 2022	SCRT Labs announces the $400M "Shockwave" initiative — a $225M ecosystem fund plus $175M accelerator pool — with DeFiance Capital, Alameda Research, CoinFund and HashKey acquiring SCRT positions
Nov 2022	FTX/Alameda Research collapses — one of Secret Network's Shockwave-era ecosystem backers ceases operations, though this reflects Alameda's own failure rather than any issue with Secret Network itself
H2 2025	The TEE industry discloses multiple significant security vulnerabilities ("wiretap.fail", "tee.fail", "Battering Ram") affecting SGX-class hardware; Secret Network responds by shifting its validator model to semi-permissioned
Jan 12, 2026	SCRT Labs publishes its 2026 roadmap update, confirming a strategic shift toward SecretAI/SecretVM adoption and pausing both Gramine migration and EVM-compatibility work on the existing chain
May 18, 2026	SCRT Labs integrates Intel Trust Authority into every SecretVM instance, adding "verification by default"
Jun 2026	The Axelar–Secret IBC bridge is exploited for approximately $4.7M; the team states native SCRT, the privacy protocol and the confidential compute model were not directly affected
Jul 7, 2026	Secret Network publishes a governance proposal to migrate SCRT from its Cosmos-based chain to Arbitrum as a new ERC-20 token, citing the bridge exploit, deteriorating Cosmos liquidity, and AI-driven risk to aging legacy code
Jul 8, 2026	SCRT falls approximately 24% in 24 hours to roughly $0.041 immediately following the migration announcement, reflecting sharp community/market unease
Aug 7, 2026	Morpheus and Secret Network unveil "zero-snoop" AI infrastructure aimed at preventing rogue server hosts from accessing client data
Aug 11, 2026	AITECH Cloud Network and Secret Network partner to bring confidential AI to AITECH's "Agent Forge" product
Sep 1, 2026 (scheduled)	If the migration proposal is approved via community governance vote, a one-time snapshot of eligible native and staked SCRT balances will be taken to determine allocation of the new Arbitrum-based ERC-20 SCRT token; SCRT Labs plans to end official maintenance of the Cosmos-based chain on this date
Aug 15, 2026 (snapshot)	SCRT trading around $0.027, at or extremely near its all-time low, with the migration governance vote still pending

The news timeline reveals a project with genuine, sustained multi-year operating history punctuated by two distinct existential-style crises: the 2020 SEC settlement that forced the original Enigma-to-Secret rebrand, and the 2025-2026 sequence of TEE security disclosures, a validator-model tightening, and now the proposed full migration off Cosmos following a real bridge exploit. This is a team that has shown it will make dramatic structural changes in response to existential pressure rather than attempting to quietly ride out difficult periods — a pattern that can be read either as commendable decisiveness or as evidence of a project that has struggled to find durable stability.

The single most defining and time-sensitive event covered in this report is the July 7, 2026 Arbitrum migration proposal, and the market's sharp, immediate negative reaction (a roughly 24-31% single-day decline across major exchanges) is itself a critical data point: rather than being read as a forward-looking security and liquidity improvement, the market appears to have interpreted the announcement as a signal of underlying distress — consistent with the fact that it followed directly from a real $4.7M exploit rather than being announced from a position of strength. The outcome of the pending governance vote and the September 1, 2026 snapshot date are the most important near-term catalysts for anyone evaluating SCRT at the time of this report.

11 INVESTMENT POTENTIAL & RISKS

BULL CASE

+ Genuine pioneer status — first mainnet blockchain with privacy-preserving smart contracts, live continuously since September 2020

+ One of the deepest, most historically credible investor rosters in this research series (HashKey, Spartan Group, Dragonfly, Hashed, CoinFund, DeFiance) across ~$411.5M in disclosed funding

+ Real technical maturity in TEE-based confidential computing — a genuinely different, already-in-production approach relative to still-maturing zero-knowledge privacy competitors

+ Proposed Arbitrum migration, if executed successfully, would move SCRT onto dramatically deeper liquidity ($17.4B TVL on Arbitrum vs. Cosmos's shrinking ~$2B) and a larger, more active developer base

+ Migration proposal includes a genuine inflation cut (from ~9% to ~5%), directly reducing structural token dilution if approved

+ Credible, concrete pivot toward confidential AI compute (SecretAI/SecretVM) with real 2026 partnerships (AITECH, Morpheus, Intel Trust Authority integration) addressing a growing, legitimate enterprise need

+ Demonstrated willingness to make hard structural changes in response to disclosed security risk (semi-permissioned validator shift, paused EVM work, proposed full chain migration) rather than downplaying problems

+ 30+ live dApps and 100+ full-time builders indicate a persistent, functioning developer ecosystem despite low current TVL

BEAR CASE

– Currently trading at or extremely near its all-time low ($0.02698), down more than 99.7% from its all-time high of $10.64

– The proposed Arbitrum migration is an active, unresolved governance event — not yet approved, and its failure, delay, or troubled execution represents a major near-term risk to token continuity and value

– The migration was triggered by a real, disclosed $4.7M bridge exploit and explicit team acknowledgment of "dangerously stale" legacy infrastructure — a serious security admission, not routine housekeeping

– Market reaction to the migration announcement was sharply negative (roughly 24-31% single-day decline across major exchanges), suggesting the market currently views the move as a distress signal rather than a confidence-building improvement

– Extremely low current DeFi TVL (~$1.3M) relative to the network's six-year operating history and $400M+ in historical funding, indicating financial-ecosystem usage has not materialized at scale

– TEE/hardware-based privacy architecture depends on trusting Intel SGX hardware security, which suffered multiple significant, industry-wide disclosed vulnerabilities in 2025

– Validator model was tightened to "semi-permissioned" in response to 2025 security concerns — a meaningful reduction in decentralization relative to the network's original design

– Faces intensifying competition from better-funded, newer-generation zero-knowledge privacy platforms (Aztec, Aleo) that have captured significant venture and developer attention since Secret's 2020 launch

– 24h trading volume exceeding total market cap at the time of this snapshot indicates the token is currently in a state of acute, event-driven volatility rather than stable price discovery

Risk Factor	Detailed Explanation
Migration execution risk	The Arbitrum migration requires community governance approval and involves a complex snapshot, eligibility, and claims process (only native and staked SCRT qualify; sSCRT, bridged SCRT and IBC assets are excluded); any technical missteps, delays, or a failed governance vote would prolong the current uncertainty.
Bridge and legacy infrastructure risk	The June 2026 Axelar-Secret exploit demonstrates that the network's bridge and integration layer has already suffered a material, successful attack; the migration itself is a tacit admission that further similar incidents were considered likely without dramatic intervention.
Hardware trust dependency	Secret's core privacy guarantee depends on Intel SGX hardware security, which suffered multiple significant industry-wide disclosed vulnerabilities in 2025; future hardware-level exploits are a risk category largely outside the project's own control.
Post-migration team commitment	SCRT Labs has stated it will wind down major maintenance of the Cosmos-based chain and reduce its operational role post-migration; the long-term level of core-team commitment to the new Arbitrum-based token and infrastructure is not yet fully specified.
Extremely low current TVL	At roughly $1.3M in DeFi TVL, the financial ecosystem built on Secret Network is minimal relative to its funding and operating history, meaning near-term token demand is unlikely to be usage-driven absent a successful pivot to AI-related revenue.
Competitive displacement risk	Newer, better-funded zero-knowledge privacy platforms (Aztec, Aleo) represent a genuine competitive threat to Secret's technological relevance, independent of the current migration question.

NBZ RESEARCH VERDICT

Secret Network is a genuine pioneer — the first blockchain to bring private smart contracts to mainnet, backed historically by one of the deepest investor rosters in crypto, and still one of only two mature TEE-based confidential computing platforms in production. But this report catches the project at an unusually fraught, unresolved moment: SCRT is trading at or near its all-time low, in the immediate aftermath of a real $4.7M bridge exploit, and in the middle of an active governance vote on whether to abandon its native Cosmos chain entirely for Arbitrum — a decision the market has so far greeted with sharp selling rather than confidence. Whether Secret Network is worth attention right now depends almost entirely on the outcome of that single, near-term catalyst: a well-executed migration that genuinely improves security and liquidity, paired with real traction for the SecretAI/SecretVM confidential-compute pivot, could represent a credible reset for a project whose core technology remains differentiated. A botched, delayed, or rejected migration — layered onto already-minimal DeFi TVL and a hardware-trust model that suffered real 2025 security disclosures — would compound existing doubts about the network's long-term relevance. The most critical risks to watch are the September 1, 2026 snapshot and governance outcome, and whether AI-infrastructure partnerships translate into real, sustained demand rather than press-release-stage announcements. This is a higher-uncertainty, event-driven situation rather than a steady-state fundamentals bet, and should be sized and evaluated accordingly. Not financial advice.

SOURCES CONSULTED: scrt.network · docs.scrt.network · x.com/SecretRebooted · ICO Drops · Tracxn · CB Insights · Decrypt · BusinessWire · Blockworks · MarketScreener · GlobalFintechSeries · Silicon UK · CryptoEvents.global · SCRT Labs 2026 Roadmap (Medium/scrt.network blog posts) · CryptoTimes · Bitget News · KuCoin News/Learn · Blockonomi · ForkLog · CryptoNews.net · ValueTheMarkets · Cryptonomist · crypto.news (privacy coins comparison) · CoinDCX · GTM8020 · Equilibrium Labs (Aleo deep dive) · Medium (Encrypted Compute Ranked framework) · user-supplied CoinMarketCap-style app screenshots (SCRT market stats, allocations, exchange markets, team page, investor list). Prices, TVL, funding and market data are point-in-time snapshots as of August 15, 2026 and change continuously; the Arbitrum migration described in this report is an active, unresolved governance proposal as of this writing — verify its current status directly via official Secret Network channels before making any decisions based on it.

NOT FINANCIAL ADVICE.